ACME Industrial Holdings - Annual Report FY2025

Item 7. Management’s Discussion and Analysis
Revenue grew 3% to $4.12 billion in FY2025, driven by price increases in the components segment.
Gross margin declined from 39.0% in FY2024 to 34.0% in FY2025 because of an input-cost squeeze: steel and resin prices rose faster than we could reprice long-term supply contracts.
Operating margin fell to 8.5% from 13.0% a year earlier.
Management expects margins to recover gradually as contracts reprice in FY2026.

Item 1A. Risk Factors

Our largest customer accounted for 18% of FY2025 revenue.

A further 10% rise in input costs would reduce gross margin by about 2 percentage points before any repricing.

Net debt to EBITDA was 2.4x at the end of FY2025, within our 3.0x covenant.